North Shore Ice Arena, LLC

Audited Financial Statements

June 30, 2025

Independent Auditor's Report

Financial Statements

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INDEPENDENT AUDITOR'S REPORT

To the Board of Directors

of North Shore Ice Arena, LLC

Opinion

We have audited the accompanying financial statements of North Shore Ice Arena, LLC (a nonprofit organization), which comprise the statement of financial position as of June 30, 2025, and the related statements of activities, functional expenses and cash flows for the year then ended, and the related notes to the financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of North Shore Ice Arena, LLC as of June 30, 2025, and the changes in its net assets and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of North Shore Ice Arena, LLC and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements

in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about North Shore Ice Arena, LLC's ability to continue as a going concern within one year after the date that the financial statements are available to be issued.

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Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards, we:

Exercise professional judgment and maintain professional skepticism throughout the audit. Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.

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Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of North Shore Ice Arena, LLC's internal control.

Accordingly, no such opinion is expressed.

Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.

Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about North Shore Ice Arena, LLC's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.

Miller Verchota, Inc.

Certified Public Accountants

Crystal Lake, Illinois

October 1, 2025

North Shore Ice Arena, LLC

Statement of Financial Position

June 30, 2025

ASSETS

Current Assets

Cash and cash equivalents

Total Current Assets

Fixed Assets

Building

Equipment

Improvements

Furniture and fixtures

Phone system

Subtotal	$ 70,435
Less accumulated depreciation and amortization	**70,435**
Total Fixed Assets	
Other Assets	
Cash and cash equivalents - restricted	7,639,489
Right-of-use assets - finance lease, net of amortization	228,896
Loan receivable	898,196
Deposits	24,665
Total Other Assets	9,028
TOTAL ASSETS	8,800,274
	(3,492,615)
	5,307,659

690,093 13,089,579

	26,501
	5,000
	13,811,173
	$ **19,189,267**

LIABILITIES AND NET ASSETS (DEFICIT)

Current Liabilities	
Accounts payable	$ 103,881
Deferred revenue	45,000
Accrued interest	31,363
Accrued real estate taxes	87,356
Bond payable, current portion	255,000
Finance lease liability, current portion	386,250
Total Current Liabilities	**908,850**
Noncurrent Liabilities	
Bond payable, less current portion, net bond discount and acquisition costs	5,447,800
Finance lease liability, less current portion	15,512,164
Financing payable	5,565
Loan payable	254,420
Total Noncurrent Liabilities	**21,219,949**
Total Liabilities	
Net Assets (Deficit)	
Net assets without donor restrictions	
Total Net Assets (Deficit)	

TOTAL LIABILITIES AND NET ASSETS (DEFICIT)	**22,128,799**
	(2,939,532)
	(2,939,532)
	$ **19,189,267**

See independent auditor's report and accompanying notes to the financial statements.

North Shore Ice Arena, LLC

Statement of Activities

Year Ended June 30, 2025

	Without Donor Restrictions
Revenue	
Contracted rental fees	$ 1,383,335
Rentals for public programs	726,243
Tournaments	
League fees	
Facility rental	23,175
	45,758
	69,316
Interest	46,506
Miscellaneous	7,022
Contributions	290,919
Loss on the disposal of	

assets	(165,820)
Unrealized loss on investments	(7,945)
Total Revenue	2,418,509
Expenses	
Program services	2,187,265
Management and general	305,498
Total Expenses	2,492,763
Change in Net Assets	(74,254)
Net Assets (Deficit), Beginning of Year	(2,865,278)
Net Assets (Deficit), End of Year	**$ (2,939,532)**

See independent auditor's report and accompanying notes to the financial statements.

North Shore Ice Arena, LLC Statement of Functional Expenses Year Ended June 30, 2025

	Program Services	Management and General	Total Expenses
Advertising and marketing	$ 8,156	$	$ 8,156
Amortization of right-of-use asset	272,889	30,321	303,210
Association fees	2,739	304	

			3,043
Audit, bookkeeping, and legal		33,286	33,286
Bank and credit card fees	16,218	1,800	18,018
Bond trustee expense	11,856		11,856
Building and ground expenses	83,826	9,314	93,140
Building operation expense	101,006	11,223	112,229
Depreciation	199,393	22,155	221,548
Insurance	56,733	6,304	63,037
Interest expense - bond	344,137	38,237	382,374
Interest expense - debt costs	24,117	2,680	26,797
Interest expense - finance lease	287,235	31,915	319,150
Management			

fees		42,000	42,000
Payroll	330,068	36,674	366,742
Real estate taxes	119,978	13,331	133,309
Software	7,500	3,180	10,680
Utilities	204,968	22,774	227,742
Youth program	116,446		116,446
Total Functional Expenses	**$ 2,187,265** $	**305,498**	**$ 2,492,763**

See independent auditor's report and accompanying notes to the financial statements.

North Shore Ice Arena, LLC

Statement of Cash Flows

Year Ended June 30, 2025

Cash Flows from Operating Activities

Change in net assets

Adjustments to reconcile change in net assets to

net cash from operating activities:

Depreciation

Amortization of right-of-use asset

Interest debt costs

Loss on the disposal of assets

Unrealized loss on investments

Decrease (increase) in assets:

Loan receivable

Increase (decrease) in liabilities:	
Accounts payable	$
EA	(74,254)
	221,548
	303,210
	26,797
	165,820
	7,945
	12,000
	55,439
Deferred revenue	(94,000)
Accrued interest	(1,204)
Accrued real estate taxes	2,379
Net cash provided by operating activities	**625,680**
Cash Flows from Investing Activities	
	311,205
	107,429
	(631,993)
Proceeds from investment maturities	
Proceeds from the sale of assets Purchase of property and equipment	
Net cash used by investing activities	
Cash Flows from Financing Activities	
Proceeds from origination of loan payable	
Principal payment on debt	
Principal payment on finance lease liability Principal payment on scrubber financing	

Net cash used for financing activities		**(213,359)**
Change in cash and cash equivalents		254,420
Cash and cash equivalents - beginning of year		(235,000)
Cash and cash equivalents - end of year		(378,250)
Supplemental disclosures of cash flow information:		(6,810)
		(365,640)
Cash and cash equivalents		**46,681**
Cash and cash equivalents - restricted		713,847
Total cash and cash equivalents		**760,528**

	June 30, 2025	June 30, 2024
Interest paid	$ 70,435	$ 19,107
Income taxes paid	690,093	694,740
	$ 760,528	$

713,847

$ 383,578 $ 397,716

See independent auditor's report and accompanying notes to the financial statements.

North Shore Ice Arena, LLC Notes to Financial Statements Year Ended June 30, 2025

NOTE 1-SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

This summary of significant accounting policies of the North Shore Ice Arena, LLC (the Organization) is presented to assist in understanding the Organization's financial statements. The financial statements and notes are representations of the Organization's management who are responsible for their integrity and objectivity. These accounting policies conform to generally accepted accounting principles and have been consistently applied in the preparation of these financial statements.

Organization and Nature of Activities

North Shore Ice Arena, LLC is a not-for-profit Illinois limited liability company established for charitable and educational purposes, specifically to engage in the business of the ownership and operation of an ice arena which include, among other things, the promotion, training, teaching, and development of the sports of organized youth hockey and figure skating and related activities. The Organization is supported primarily through program revenue from participants and the member organizations. The Organization has two members (the Members), Wilmette Hockey Association, Inc. (WHA) and Winnetka Hockey Club, Inc. (WHC). Each member owns a 50% interest in the Organization. Both Members are tax-exempt organizations pursuant to Section 501(c)(3) of the Internal Revenue Code.

Basis of Presentation

The financial statements of the Organization have been prepared on the accrual basis of accounting. The Organization reports information regarding its financial position and activities according to two classes of net assets: net assets without donor restrictions and net assets with donor restrictions.

Net Assets Without Donor Restrictions - Net assets that are not subject to or are no longer subject to donor-imposed stipulations.

Net Assets With Donor Restrictions - Net assets whose use is limited by donor-imposed time and/or purpose restrictions. As of June 30, 2025, there are no net assets with donor restrictions.

Use of Estimates

The preparation of financial statements in conformity with generally accepted accounting principles require management to make estimates and assumptions that affect certain reported amounts and disclosures. Accordingly, actual results could differ from those estimates.

Cash and Cash Equivalents

Cash is defined as cash on hand, amounts held at financial institutions, and short-term highly liquid investments that are readily convertible to known amounts of cash. Investments with an original maturity of three months or less are considered short-term for these purposes.

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Accounts Receivable

Accounts receivable are stated at the amount management expects to collect from outstanding balances. For the year ended June 30, 2025, the balance of accounts receivable is $0. The Organization provides an allowance for doubtful accounts for receivables, which are determined to be uncollectible based on periodic review by management. Factors used to determine whether an allowance should be recorded include the age of receivables, the history of past write offs and collections and current credit conditions. The allowance for doubtful accounts is $0 for the year ended June 30, 2025.

Fixed Assets

Fixed assets above $2,500 are capitalized at cost when purchased or at fair value at the date of donation. Repairs and maintenance are charged to expense as incurred.

Depreciation is computed using the straight-line method over estimated useful lives:

Building	40 years
Equipment	5 years
Improvements	5-40 years
Furniture and fixtures	5 years
Software	3 years
Phone system	3 years

Depreciation expense was $221,548 for the year ended June 30, 2025.

Income Taxes

North Shore Ice Arena, LLC is a not-for-profit organization exempt from income taxes under the Internal Revenue Code Section 501(c)(3) and comparable state law as a not-for-profit organization. The Organization is not classified as a private foundation. The most significant tax position of the Organization is its assertion that it is exempt from income taxes and its determination of whether any amounts are subject to unrelated business income tax (UBIT). All significant tax positions have been considered by management. It has been determined that it is more likely than not that all tax positions would be sustained upon examination by taxing authorities.

The Organization's tax returns are subject to possible examination by the taxing authorities. Tax returns essentially remain open for possible examination for a period of three years after the date on which those returns are filed.

Investments

Investments are recorded at fair value. Realized and unrealized gains and losses are included in the accompanying statement of activities.

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Donated Services

Donated services are recognized as revenues at their estimated fair value when they create or enhance nonfinancial assets, or they require specialized skills which would need to be purchased if they were not donated. The Organization receives donated services from a variety of unpaid volunteers assisting the Organization in its charitable programs. No amounts have been recognized for these services in the accompanying statement of activities because the criteria for recognition have not been satisfied.

Functional Allocation of Expenses

The costs of providing programs and other activities have been summarized on a functional basis in the statement of activities and the statement of functional expenses. The financial statements report certain categories of expenses that are attributable to more than one function. Therefore, these expenses require allocation on a reasonable basis. The expenses allocated include depreciation, which is allocated on an estimated square footage basis, as well as salaries and other expenses, which are allocated on the basis of estimates of time and effort.

Fair Value of Financial Instruments

Unless otherwise indicated, the fair values of all reported assets and liabilities that are financial instruments approximate the carrying values of such amounts.

Leases

The Organization determines if an arrangement is or contains a lease at inception based on whether or not the Organization has the right to control the asset during the contract period and other facts and circumstances. The right-of-use (ROU) assets represent the Organization's right to use the underlying assets for the lease term, and the lease liabilities represent the Organization's obligation to make lease payments arising from these leases. The ROU assets resulting from operating leases and the related lease liabilities are separately stated on the face of the statement of financial position. ROU assets and lease liabilities reflect the present value of the future minimum lease payments over the lease term. ROU assets also can include adjustments related to lease payments made and/or incentives received at or before the commencement date. Lease terms may include options to extend or terminate the lease when it is reasonably certain that the option will be exercised. Operating lease expense is recognized on a straight-line basis over the lease term.

Finance leases are those in which ownership transfers, or an arrangement which results in either the present value of lease payments being greater than 90% of the fair market value of the asset or lease

term being greater than 75% of the estimated useful life of the asset. The right-of-use asset is amortized over either the useful life of the asset or lease term, depending on the circumstances of the lease.

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Leases (Continued)

The Organization made an election to not report right-of-use assets and lease liabilities for its short-term leases (leases with a term of 12 months or less), to use a risk-free rate in lieu of its incremental borrowing rate to discount future lease payments, and to not separate the lease and non-lease components of lease agreements.

NOTE 2 REVENUE RECOGNITION

The Organization recognizes revenue in accordance with FASB ASC 606, *Revenue from Contracts with Customers*. The standard requires an entity to recognize revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services.

The Organization's revenue is primarily derived from the following sources:

Contributions: Contributions are recognized as revenue when the donor's commitment is received. Conditional contributions are recognized as revenue when the conditions on which they depend are substantially met.

Program Service Fees: Includes revenue from contracted ice fees, facility and rink rentals, and league and tournament revenues. Revenue from program services is recognized when the related use of the facility is granted to participants.

Other Revenue: Miscellaneous revenue is recognized when the related performance obligation is satisfied.

Revenue is recognized when control of the promised goods or services is transferred to customers in an amount that reflects the consideration the Organization expects to be entitled to in exchange for those goods or services. This occurs at the point in time or over time as follows:

Contracted Ice Fees and Facility Rentals: Revenue is recognized over time as access to the use of the facility is provided.

Public Rink Rentals and League and Tournament Revenue: Revenue is recognized at a point in time when the event occurs.

Other Revenue: Revenue is recognized when the performance obligation is satisfied.

The following table presents revenue disaggregated by revenue stream:

Revenue Stream	2025
Program Service Fees	$ 2,247,827
Contributions	290,919
Other Revenue	7,022
Total Revenue	$ **2,545,768**

NOTE 2 - REVENUE RECOGNITION (Continued)

The Organization records contract liabilities when cash payments are received in advance of the performance obligation being satisfied. These are recognized as deferred revenue and recognized as revenue when the performance obligations are met. Deferred revenue was $45,000 as of June 30, 2025.

The organization makes significant judgments in determining:

The timing of satisfaction of performance obligations, including whether revenue is recognized over time or at a point in time.

The method to measure progress for revenue recognized over time.

The allocation of transaction price to performance obligations in contracts with multiple

deliverables.

The Organization has elected to use the practical expedient to not disclose the transaction price allocated to remaining performance obligations or an explanation of when the entity expects to recognize that amount as revenue for contracts with an original expected duration of one year or less.

NOTE 3 - LIQUIDITY AND AVAILABILITY OF FINANCIAL ASSETS

The Organization regularly monitors liquidity required to meet its operating needs and other contractual commitments. The Organization manages its cash available to meet general expenditures with the following guiding principles:

- Operating within a prudent range of financial soundness and stability
- Maintaining adequate liquid assets

The Organization has the following financial assets as of June 30, 2025 that could readily be made available within one year of the statement of financial position to fund expenses without limitations:

Cash and cash equivalents	$ 70,435

In addition to financial assets available to meet general expenditures over the year, the Organization anticipates covering its general expenditures with contracted rental fees, rental fees from public programs and facility rentals. See Note 6 for future commitments from the Members.

NOTE 4-RESTRICTED CASH

The Organization maintains several accounts that are restricted in connection with the issuance of revenue bonds discussed in Note 7. The accounts were established with proceeds from the 2008 bond issue. The bond indenture provides for the restricted use of these funds for purposes of debt service on the bonds and repairs and maintenance of the facilities financed, as directed by the bond trustee. As such, the bond accounts are considered restricted cash and cash equivalents and are not available for operating purposes.

NOTE 4 - RESTRICTED CASH (Continued)

Cash is restricted for the following purposes as of June 30, 2025:

Debt service fund	$ 650,699
Repair and replacement fund	36,940
Bond sinking fund	1,945
Interest fund	508
Revenue fund	1
Total	$690,093

NOTE 5-LEASE COMMITMENTS

The Organization leases the land in which its building resides under a 60-year noncancelable operating lease through August 31, 2068. Monthly lease expense was $31,667 at June 30, 2025 with periodic increases. There are two additional ten-year options to renew. It is uncertain whether the lease extensions will be utilized. In September 2024, the Organization amended its lease as described in Note 8.

Finance Lease	
Right-of-use asset	$13,999,209
Accumulated amortization	(909,630)
	$13,089,579
Total lease liability	$15,898,414
Remaining lease term	
Rate	

43.17 years
2.00%

Future minimum lease payments under the terms of the lease are as follows:

Year ending June 30,	Amount
2026	$ 386,250
2027	400,417
2028	407,167
2029	413,833
2030	431,667
2031-2068	23,411,011
	25,450,345
Less present value discount	(9,551,931)
Finance lease liability	$15,898,414

NOTE 6-RELATED PARTY TRANSACTIONS

For the year ended June 30, 2025, the Organization received $528,534 from Wilmette Hockey Association (WHA) and $663,480 from Winnetka Hockey Club (WHC) for ice and other fees. The Members have contracted with the Organization for ice fees for the following year. Future minimum

annual receipts for the year ended June 30, 2025 from the Members are $1,213,530. The Organization also received a contribution of $145,460 from both clubs.

The bond payable discussed in Note 7 and the lease commitment discussed in Note 5 are both guaranteed by the Members, WHA and WHC.

In addition, deferred revenue as of June 30, 2025 in the amount of $45,000 consists of deposits received from WHA and WHC, to be applied to the following year.

NOTE 7-BOND PAYABLE

Bond payable consists of the following as of June 30, 2025:

$8,490,000 bond payable to Amalgamated Bank of Chicago dated January 25, 2008 with semiannual payments of varying amounts inclusive of interest at 6.125% to 6.25%, secured by assets of the Members, WHA and WHC.	$ 6,040,000
$502,229 bond issuance costs amortized on a straight-line basis over 30 years (net of accumulated interest of $291,572)	(210,657)
$169,800 underwriters' discount amortized on a straight-line basis over 30 years (net of accumulated interest of $98,578)	(71,222)
$131,891 discount on bonds amortized on a straight-line basis over 30 years (net of accumulated interest of $76,570)	(55,321)
Total bond payable	5,702,800
Less: current portion	(255,000)
Bond payable, net of current portion	$5,447,800

North Shore Ice Arena, LLC Notes to Financial Statements

Year Ended June 30, 2025

NOTE 7- BOND PAYABLE (Continued)

Future maturities of the bond payable are as follows:

Year ending June 30,	Amount
2026	$255,000
2027	265,000
2028	285,000
2029	305,000
2030	320,000
2031 and after	4,610,000
	$6,040,000

For the year ended June 30, 2025, interest expense on the bond discount and acquisition costs is $26,797.

The loan agreement requires that the Organization and its Members maintain a combined debt service coverage ratio. A ratio of 1.25 to 1.0 or greater results in good standing. If between 1.25 and 1.0 to 1.0, they are to meet this requirement by contracting with an independent consultant who will provide recommendations to meet the covenant. A ratio of less than 1.0 to 1.0 results in an event of default. For the year ended June

30, 2025, the Organization and its Members have a debt service ratio of 2.04 to 1.0 which results in a status of good standing.

NOTE 8 - LOAN PAYABLE

In September 2024, the Organization made an amendment to the lease described in Note 5 in which the Organization's rent payments were held in an escrow account and loaned back to the Organization to pay for equipment. The Organization set aside $300,000 in the escrow account, of which $254,420 had been received at June 30, 2025. The loan has a period of 48 months and accrues interest at 5.125%. Repayments of the full $300,000 principal began in September 2025.

Future principal payments of the loan are as follows:

Year ending June 30,	Amount
2026	$ 62,500
2027	75,000
2028	75,000
2029	75,000
2030	12,500
	$ 300,000

NOTE 9-CONCENTRATIONS

The Organization maintains its cash in bank accounts which, at times, may exceed federally insured limits. Accounts are guaranteed by the Federal Deposit Insurance Corporation (FDIC) up to certain limits. As of June 30, 2025, the Organization was within the FDIC-insured limits. The Organization has not experienced any losses in such accounts.

The Organization places its restricted cash and investments with high quality financial institutions. The Organization engages a professional portfolio manager to advise and assist in investment strategies. Such advisors follow a conservative investment strategy. These funds are not insured or guaranteed.

Approximately 61% of total revenue for the year ended June 30, 2025 was from the Organization's two Members, Wilmette Hockey Association and Winnetka Hockey Club.

The Organization is supported primarily through contract rental fees, rental fees for public programs, facility rentals and programs that it runs. It is reasonably possible that a facility-related business disruption would result in a change to the Organization.

NOTE 10 - SUBSEQUENT EVENTS

FASB ASC 855-10 requires the disclosure of the date through which the Organization has evaluated subsequent events and the basis for that date. Management has evaluated subsequent events through October 1, 2025, the date which the financial statements were available for issue and has determined that there are no additional adjustments and/or disclosures required.